Telangana State Food Processing Policy and Fiscal Incentives for Rural MSMEs

Issuing Authority: Industries & Commerce Department, Government of Telangana

1. Dedicated Agro-Food Processing Incentive Policy

The Government of Telangana provides specialized capital incentives for micro and small enterprises setting up food processing units (rice milling, dal mills, cold chain, spices, dairy, horticulture, oilseed processing) across designated Special Food Processing Zones (SFPZs).

2. Substantial Capital Investment Subsidies

Eligible micro and small food processing enterprises receive:

• Capital Subsidy: 25% subsidy on fixed capital investment, up to Rs. 1 Crore for micro/small units (enhanced to 35% up to Rs. 1.25 Crore for SC/ST/Women entrepreneurs).

• Power Subsidy: Power rebate of Rs. 2.00 per unit for 5 years.

• Interest Subvention: 7% interest rebate on term loans for up to 5 years (up to Rs. 15 Lakhs per year).

3. Cold Chain and Quality Certification Assistance

50% subsidy (up to Rs. 50 Lakhs) for establishing cold chain, ripening chambers, and refrigerated transport vehicles. 50% reimbursement of FSSAI, ISO 22000, and organic certification costs.

4. Priority Land Allocation in TSIIC Zones

Land plots in Special Food Processing Zones developed by TSIIC are allocated at 33% concessional lease rates with dedicated three-phase power and water pipelines.